UNITED STATES DISTRICT COURT
WESTERN DISTRICT OF VIRGINIA
LYNCHBURG DIVISION

ASHLEY FITCH, individually and on behalf of others similarly situated, Plaintiff, v. CENTRA HEALTH, INC., et al. Defendants.	Case No. 6:26-cv-00001

DEFENDANTS' BRIEF IN SUPPORT OF MOTION TO DISMISS

Plaintiff asks the Court to hold that Centra, by including a conservative investment option in its retirement savings plan, opened itself up to class liability because it did not instead offer one of a handful of other options that Plaintiff has cherry-picked for purposes of litigation. Plan fiduciaries are entitled to deference in making their decisions on what investments to include in their plan. Plan fiduciaries may not be penalized by offering conservative options in their investment plans, especially when, as here, the plan fiduciary followed a rigorous process in selecting and regularly monitoring the fund.

The factual allegations in Plaintiff's Amended Complaint fare no better than the original. Numerous courts, including one this week, have rejected the same claims by the same Plaintiff's counsel concerning the same type of investment. Here too, lacking a plausible claim that Centra's Retirement Savings Planning Committee breached their fiduciary duty in violation of ERISA, or a plausible failure to monitor claim under ERISA, the case should be dismissed.

BACKGROUND[1]

1. Statutory Framework

ERISA is a comprehensive statute governing employee benefit plans, including retirement plans. DiFelice v. U.S. Airways, Inc., 497 F.3d 410, 417 (4th Cir. 2007). The act does not require employers to establish employee benefit plans, nor does it "mandate what kind of benefits employers must provide if they choose to have such a plan." Lockheed Corp. v. Spink, 517 U.S. 882, 887 (1996). In enacting ERISA, Congress sought to strike a balance between "ensuring fair and prompt enforcement of rights under a plan and the encouragement of the creation of such plans," conscious that excessive "administrative costs, or litigation expenses, unduly discourages employers from offering [ERISA] plans in the first place." Conkright v. Frommer, 559 U.S. 506, 517 (2010) (citation omitted).

ERISA "requires the fiduciary of a pension plan to act prudently in managing the plan's assets." Fifth Third Bancorp v. Dudenhoeffer, 573 U.S. 409, 411–12 (2014) (citing 29 U.S.C. § 1104(a)(1)(B)). That means that "a fiduciary shall act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims.'" DiFelice, 497 F.3d at 417 (quoting 29 U.S.C. § 1104(a)(1)(B)). In addition, ERISA imposes on plan fiduciaries the duty of loyalty, that a fiduciary "shall discharge his duties … solely in the interest of the participants and beneficiaries." Id. at 417–18 (quoting 29 U.S.C. § 1104(a)(1)).

2. Stable Value Funds

The Amended Complaint describes the type of fund at issue here, a "stable value fund," in some detail: "a conservative, fixed income investment vehicle that provides a relatively stable

[1]Factual allegations in a complaint must be accepted as true on a motion to dismiss. Coleman v. Maryland Ct. of Appeals, 626 F.3d 187, 190 (4th Cir. 2010).

rate of return." First Amended Complaint ("FAC") ¶ 54. It cites a government report[2] that further explained, "[t]hough there are differences among various Stable Value Funds in general, a Stable Value Fund can generally be labeled as a conservative, fixed income investment vehicle with an objective of preserving capital while providing a relatively stable rate of return that generally exceeds the returns provided by money market funds." DOL Report.[3] They are and have been "an important investment tool for retirement plans covered by ERISA," and "an important tool in achieving a conservative fixed income return while preserving capital." Id.

As of 2009, between one-half to two-thirds of all defined contribution plans offered stable value options. Id. Today, they remain "one of the most common capital preservation options" available in retirement savings plans.[4]

The Amended Complaint further alleges how several types of stable value funds operate. Namely, they "can be managed via guaranteed insurance contracts ('GICs'), in which the fund manager holds or invests in a single group annuity contract issued directly to the retirement plan and the plan sponsor receives a direct guarantee of principal and accrued interest from the issuer." FAC ¶ 55. There are "three types of GICs":

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[2]See FAC ¶ 54 (citing Department of Labor, Employee Benefits Security Administration, Advisory Council Report on Stable Value Funds and Retirement Security in the Current Economic Conditions (2010), available at https://www.dol.gov/agencies/ebsa/about-ebsa/about-us/erisa-advisory-council/2009-stable-value-funds-and-retirement-security-in-the-current-economic-conditions) ("DOL Report"). The Amended Complaint relies on the Report for its description of stable value funds, FAC ¶¶ 54–57, incorporating it by reference at least for that purpose and also subject to judicial notice. Tellabs, Inc. v. Makor Issues & Rights, Ltd., 551 U.S. 308, 322 (2007).

[3]See also U.S. Gov't Accountability Office, 401(K) Plans: Certain Investment Options and Practices that May Restrict Withdrawals Not Widely Understood, at 9 (Mar. 2011), available at https://www.gao.gov/assets/gao-11-291.pdf ("Stable value funds are a fixed income investment option, designed to preserve the total amount of participants' contributions, or their principal, while also providing steady, positive returns set in the contract.") ("GAO Report"). See also Eibensteiner v. EssilorLuxottica, No. 3:25-cv-2443, 2026 WL 1140895, at *1 (N.D. Tex. Apr. 27, 2026) ("Stable value funds are designed to preserve capital while providing periodic interest at a set or reset rate, typically determined in advance and adjusted at intervals.") (Mem. Op. attached as Exhibit A); Ex. A at 2.

[4]See Thomas P. Lemke & Gerald T. Lins, ERISA for Asset Managers and Collective Trust Funds § 3:37 (Sept. 2025).

> Traditional GIC (or "insurance company general account"). Contract with an insurance company that guarantees a fixed rate of return "backed by the assets of the insurer's general account," and which fixed rate is guaranteed "regardless of the performance of the underlying assets, which the insurance company owns and holds within their general account."
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> Separate Account GIC. Contract with an insurance company with a guaranteed rate of return "backed by assets held in a segregated account separate from the insurer's general account," and while "[t]he insurance company owns these assets … [they] are set aside in a separate account for the exclusive benefit of the participating plan."
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> Synthetic GIC. Contract with bank or insurance company guaranteeing a rate of return relative to a portfolio of assets held in an external trust.

See FAC ¶¶ 55–57; DOL Report (providing quoted descriptions); id. ("There are numerous types of Stable Value Fund contracts; including traditional Guaranteed Investment Contracts (GICs), separate accounts contracts, and synthetic GICs….").

While stable value funds generally are conservative investments compared with other asset classes and have capital preservation as an aim, they vary in including differing underlying investments, accepting differing levels of risk, and offering differing returns. See FAC ¶¶ 55–57; see id. ¶ 119 (alleging that as a "general account product" TFLIC GIO "should have had a high credit rate given its riskiness"); DOL Report; Jacobs v. Hackensack Meridian Health, Inc., No. 2:25-cv-1272, 2026 WL 710229, at *2–3 (D.N.J. Mar. 13, 2026) (describing different types, characteristics, risks, and returns of different stable value funds).

3. Centra Plan, Challenged Fund & Investment Selection & Review Process

Centra is a regional nonprofit healthcare system based in Lynchburg that serves over 500,000 people and is a primary provider of critical medical services in central and southern Virginia. FAC ¶ 24. Centra's Health Matching Tax Deferred Savings Plan (the "Plan") is a defined contribution plan,[5] FAC ¶ 2, which means that its assets "are allocated to participants'

[5]The Plan is a 403(b) plan, a tax-sheltered annuity plan offered by a tax-exempt organization and similar to a 401(k) plan. FAC at 1 n.1.

individual accounts." Trauernicht v. Genworth Fin. Inc., 169 F.4th 459, 467 (4th Cir. 2026); see 29 U.S.C. § 1002(34) (a defined contribution plan "provides for an individual account for each participant and for benefits based solely upon the amount contributed to the participant's account, and any income, expenses, gains and losses … which may be allocated to such participant's account").[6] Centra is the Plan Sponsor and named fiduciary, serving without compensation. FAC ¶¶ 25–26. In 2020, the Plan had 9,434 participants and $661,578,023 under management; by 2024, the Plan had 10,247 participants and $669,994,115 under management. Id. ¶¶ 9–11.

Plaintiff's claims challenge the wisdom of including and retaining the Transamerica Financial Life Insurance Company Guaranteed Income Option ("TFLIC GIO"), a stable value fund, in the Plan. FAC ¶ 13. As alleged in the Amended Complaint, effective in September 2020, the TFLIC GIO was an available investment fund in the Plan. Id. ¶ 43. From 2020 until 2023, approximately $64 million to $69 million in Plan assets were invested in the TFLIC GIO each year. Id. ¶ 46. In 2024, it was removed from the Plan. Id. at 8 n.7.

As described in the Amended Complaint and cited Centra and Plan documents,[7] the Retirement Savings Planning Committee (the "Committee") is comprised of at least five and no more than twelve members, consisting of representatives of Centra and Captrust—its investment advice co-fiduciary within the meaning of ERISA section 3(21)(A)(ii). See FAC ¶¶ 29–30 (citing

[6]By contrast, a "defined benefit plan" is a competing plan in which "the assets of the plan are held collectively and then are used to pay the defined and fixed benefits that the employer promised to plan participants." Trauernicht, 169 F.4th at 467.

[7]By citing and relying on the Committee Charter provided to Plaintiff's counsel in the Amended Complaint, Plaintiff has incorporated it by reference. See FAC ¶¶ 29–30, 75–79; Tellabs, Inc., 551 U.S. at 322.

Committee Charter); Ex. B at 1 (Committee Charter).[8] By charter, the Committee holds quarterly meetings during which it conducts oversight over its investment portfolio and supervises the investments of the Plan in accordance with ERISA. Ex. B at 1–2. The Committee's oversight is memorialized in minutes of its quarterly meetings, which minutes Centra provided to Plaintiff's counsel upon their request back in December 2022. FAC ¶¶ 75–76. Plaintiff acknowledges the committee's process of ongoing oversight over Plan investments is reflected in minutes which she received—based upon independent reviews and analysis by co-fiduciary Captrust—which the Amended Complaint cites dismissively without challenging its process on the merits. See id. ¶¶ 75–79; Ex. B at 1–2.

4. Plaintiff's Claims

Plaintiff alleges that she participated in the Plan during her employment at Centra. FAC ¶ 21. She further alleges that she "invested in the TFLIC GIO in the Plan and suffered injury to her Plan account due to the significant underperformance of the TFLIC GIO." Id. She does not allege the dates of her employment; when she was invested in the disputed fund precisely; anything about her transaction, contribution or withdrawal history; or how much she claims to have lost based upon her investment in the fund. Id. Plaintiff alleges that in December 2022, she requested from Plan management "all written instruments" governing the Plan, including investment policy statements. Id. ¶ 75. In response, the Plan administrator provided meeting minutes but not investment policy statements. Id. ¶ 76.

A little over three years later, Plaintiff filed this ERISA complaint against Centra and the Committee. Plaintiff challenges Defendants' selection of the TFLIC GIO fund for the Plan and

[8] 29 C.F.R § 2510.3-21(c) (defining "fiduciary" within the meaning of ERISA section 3(21)(A)(ii)); see also Dep't of Labor Proposed Rule, Fiduciary Duties in Selecting Designated Investment Alternatives, 91 Fed. Reg. 16,088, 16,096 (Mar. 31 2026) (explaining that "plan fiduciaries may wish to work with an investment advice fiduciary (within the meaning of ERISA section 3(21)(A)(ii)) to understand and evaluate the performance of the investment").

their alleged failure to remove it from the Plan earlier than they did. Id. ¶¶ 12–14, 79, 88. In response to Defendants' filing their motion to dismiss, Plaintiff filed this Amended Complaint. See Dkts. 28, 44.

In her Amended Complaint, Plaintiff acknowledges that the purpose of a stable value fund such as the TFLIC GIO is a conservative, fixed income investment vehicle that seeks to provide a stable rate of return. FAC ¶¶ 53–56; id. at 80 ("stated goal is to preserve income"). And she acknowledges she "does not have actual knowledge of the specifics of Defendants' decision-making process" in selecting investment options for the Plan and deciding which to maintain or remove. Id. ¶ 74. In substance, she claims that "the TFLIC GIO had chronically underperforming crediting rates when compared to other stable value [funds]," and thus Defendants' selection of the fund "was clearly a result of their lack of an investment review process, or … failure to implement a prudent investment review process." Id. ¶¶ 87–88. Plaintiff has included two claims in her Amended Complaint: Breach of Fiduciary Duty of Prudence (Count I); and Breach of Duty to Monitor (Count II)).

LEGAL STANDARD

A motion to dismiss pursuant to Federal Rule of Civil Procedure 12(b)(6) challenges the legal sufficiency of the claims in a complaint. "To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.'" Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009) (quoting Bell Atl. Corp. v. Twombly, 550 U.S. 544, 570 (2007)). A claim is plausible when "the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." Id. at 678 (citing Twombly, 550 U.S. at 556). Thus, the plaintiff's "[f]actual allegations must be enough to raise a right to relief above the speculative level." Twombly, 550 U.S. at 555. But facts that are "merely consistent with" a defendant's liability fall short of establishing the

"plausibility of 'entitlement to relief,'" required to survive a Rule 12(b)(6) motion to dismiss. Iqbal, 556 U.S. at 678 (quoting Twombly, 550 U.S. at 557). "In other words, the complaint's factual allegations must produce an inference of liability strong enough to nudge the plaintiff's claims 'across the line from the conceivable to the plausible.'" Nemet Chevrolet, Ltd. v. Consumeraffairs.com, Inc., 591 F.3d 250, 256 (4th Cir. 2009) (quoting Iqbal and Twombly).

A motion to dismiss for failure to state a claim under Iqbal and Twombly is an "important mechanism for weeding out meritless claims" that a plan fiduciary has acted imprudently. Dudenhoeffer, 573 U.S. at 425–26. And because, "[a]t times, the circumstances facing an ERISA fiduciary will implicate difficult tradeoffs, [ ] courts must give due regard to the range of reasonable judgments a fiduciary may make based on her experience and expertise." Hughes v. Northwestern Univ., 595 U.S. 170, 177 (2022).

ARGUMENT

Plaintiff's claims involve classic Monday morning quarterbacking that courts have repeatedly rejected as a matter of law. Plaintiff's theory appears to be that, while "stable value funds" are "generally presented as one of the more conservative options for investors who prefer asset preservation to the risk of pursuing greater returns," here Defendants acted imprudently by "simply picking 'too conservative' a benchmark for a stable value fund." See Ellis v. Fid. Mgmt. Tr. Co., 883 F.3d 1, 9 (1st Cir. 2018). Courts have roundly rejected similar claims that fault plans for including a conservative investment option, in lieu of one from a plaintiff's carefully-curated, litigation-driven list of alternatives that, with the comfortable benefit of hindsight, may have yielded higher returns over a finite period. The law is clear, however, that "whether a fiduciary's actions are prudent cannot be measured in hindsight," and that is true whether it "would accrue to the fiduciary's detriment or benefit." DeFelice, 497 F.3d at 424. It is no surprise then that numerous courts have been and are granting motions to dismiss the same claims by the same

Plaintiff's counsel alleging ERISA planning committees have all breached the duty of prudence based on various stable value funds' alleged underperformance—yielding at least one adverse ruling per month, including the Hensley case two days ago that was dismissed with prejudice.[9]

That reasoning is decisive here. The Amended Complaint, replete with conclusory allegations, lacks factual allegations to state a plausible claim that the Committee violated ERISA's duty of prudence based upon alleged underperformance of the TFLIC GIO. Numerous courts have dismissed similar claims as Plaintiff's that allege underperformance based solely on a few cherry-picked years' of comparison. Moreover, underperformance claims have been held lacking where, as here, a plaintiff can allege nothing more than minimal differences in yields even with her cherry-picked comparators (here, under 2%). The statute and its implementing regulations also require the Amended Complaint to include factual allegations that the fund underperformed reasonably available alternatives with similar risks, and of a like character and with like aims. They are nowhere to be found. That's another independent basis for dismissal.

Plaintiff's duty to monitor claim fares no better. The Amended Complaint should be dismissed.

1. The Factual Allegations Fail to State a Plausible Claim for Breach of Fiduciary Duty.

[Portion omitted: parts 1(a) to 1(c) of the Argument, and footnotes 10 to 13 and 20, are not transcribed.]

2. Plaintiff's Duty to Monitor Claim Fares No Better.

In Count II, Plaintiff alleges that Centra failed to adequately monitor the other fiduciaries to ensure they were fulfilling their fiduciary obligations. FAC ¶¶ 128–34. But because a failure to monitor claim "derives from and depends on an underlying breach of fiduciary duty cognizable under ERISA," as no "plausible underlying fiduciary breach" has been alleged, the

[9]See EssilorLuxottica, 2026 WL 1140895 (Apr. 27, 2026) (Ex. A); Tedford v. Equitable Fin. Life Ins. Co., No. 2:25-cv-2180, 2026 WL 1398640, at *1 (D.N.J. May 19, 2026) (Mem. Op. attached as Exhibit C); Hensley v. Molson Coors Beverage Co. USA LLC Gov. Comm., No. 2:25cv-1371, 2026 WL 1878633, at *1 (E.D. Wis. June 30, 2026) (Mem. Op. attached as Exhibit D).

"derivative monitoring claims cannot survive." Steen v. Sonoco Prods. Co., No. 4:24-cv-3105, 2025 WL 2420725, at *7 (D.S.C. June 5, 2025).

Plaintiff argues that data in an article from the Stable Value Investment Institute of America supports the claim that TFLIC GIO underperformed meaningfully. FAC ¶¶ 114–16. It doesn't. The so-called comparison data is from 2010 to 2019, upon which Plaintiff asks the Court to compare TFLIC GIO's performance from 2020 to 2024. The time periods don't align. Again, this is apples and oranges.

3. Plaintiff Lacks Standing to Pursue Injunctive Relief.

Plaintiff is no longer employed by Centra and is no longer invested in the Plan. See FAC ¶ 21 ("During [Plaintiff's] employment, [she] participated in the Plan."). Yet as a named plaintiff and as representative of a putative class, she seeks not just retrospective relief but also prospective, injunctive relief. Id. at p. 34(G) ("An order enjoining Defendants from any further violations of their ERSA fiduciary responsibilities, obligations, and duties."). Of course, each class member "must demonstrate standing separately for each form of relief sought." Friends of the Earth, Inc. v. Laidlaw Env't Servs. (TOC), Inc., 528 U.S. 167,185 (2000). And "a plaintiff seeking prospective injunctive relief may not rely on prior harm to establish Article III standing," Abbott v. Pastides, 900 F.3d 160, 176 (4th Cir. 2018), but instead "must establish an ongoing or future injury in fact," Kenny v. Wilson, 885 F.3d 280, 287 (4th Cir. 2018). The plaintiff also bears the burden of establishing that the injury asserted is redressable. Laidlaw, 528 U.S. at 180–81. As a former employee and former Plan participant, she faces no "ongoing or future injury" from the Plan, nor would the forward-looking relief that Plaintiff seeks impact her in any way.

She lacks standing to pursue injunctive relief.[10]

[10]See, e.g., Fitzpatrick v. Neb. Methodist Health Sys., Inc., No. 8:23-cv-27, 2024 WL 6977298, at *5 (D. Neb. Sept. 20, 2024) (rejecting injunctive relief claim by same Plaintiff's counsel, and explaining that, "[a]s former, not present, plan participants, [the plaintiffs] have not alleged a real or immediate threat of future injury based on the defendants' conduct."); Mehlberg v. Compass Grp. USA, Inc., No. 2:24-cv-4179, 2026 WL 1021456, at *5 (W.D. Mo. Apr. 9, 2026) (explaining that, "[a]s former Plan participants, Named Plaintiffs have not alleged a real or immediate threat of future injury based on Defendant's conduct" and therefore "lack standing to pursue prospective relief"); cf. Trauernicht, 169 F.4th at 465 (noting that district court previously "recognized that Trauernicht and Wright, as former participants in the Plan, lacked standing to obtain prospective relief and therefore dismissed their claim for injunctive relief pursuant to Rule 12(b)(1)").

CONCLUSION

Defendants respectfully request that the Court grant their motion to dismiss.

Dated: July 2, 2026

Respectfully submitted,

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